



4.2 Global Markets & Business Expansion

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Push factors

- **Push factors** are factors that push a business to **expand outside** of its own country
- When faced with **saturated markets** or **intense competition**, businesses may consider engaging in international trade as a way to access new markets, diversify their customer base and gain a competitive advantage
- There may be **adverse conditions** within a domestic market, which may cause a business to look at opportunities in countries abroad
 - E.g. due to the UK leaving the European Union, some businesses have decided to move their operations outside the country
 - **Sony** has moved its headquarters from the UK to the Netherlands
 - **Honda** closed a production plant in Wales in 2021
 - **HSBC** chose to move its London base to France

Saturated markets

- Saturated markets occur when the demand for goods and services has reached a peak, so it becomes challenging for businesses to grow and expand within the local market
- This often prompts businesses to explore opportunities in global markets, which can help sustain their growth and profitability

Intense competition

- In a competitive market, businesses need to find ways to differentiate themselves and gain a competitive advantage
- One way to achieve this is by exploring new markets and expanding their customer base
- By exporting goods and services to new markets, businesses can reduce their reliance on a single market and diversify their **revenue streams**, thereby reducing their exposure to **market volatility and competition**

Pull factors

- **Pull factors** encourage businesses to operate within **markets abroad** that present significant growth opportunities
- Two pull factors that can prompt trade are **economies of scale** and **risk spreading**

Benefiting from economies of scale

- **Economies of scale** usually occur when a business expands its production into new markets abroad



- Businesses may also be able to purchase **raw materials** and labour at lower prices than within their domestic markets
 - E.g. Ikea expanded into China as there was opportunity for growth with families **demanding more furniture** due to the **removal of the one-child policy**
 - Producing furniture in China helped to reduce transportation and distribution costs

Spreading risk

- By accessing multiple markets, businesses can diversify their customer base and reduce their exposure to risks associated with operating in a single market
- This can include economic, political and other types of risks that could impact their operations and profitability
 - E.g. Aston Martin produces motor cars in the UK, but it exports them to multiple markets to reduce exposure to risks associated with operating in a single market
 - There may be a recession in the UK but not in the USA

Offshoring and outsourcing

- Businesses use **offshoring and outsourcing** to develop their international trade

Offshoring

- **Offshoring** is when a company moves part of the production process, or all of it, to another country
- Reasons for offshoring include:
 - Lower labour costs
 - Access to raw materials
 - Access to skilled labour

Advantages and disadvantages of offshoring

Advantages of offshoring	Disadvantages of offshoring
▪ Lower labour costs may be available in other countries, which helps businesses keep costs down and increase profitability	▪ Public relations and employer/employee relations may suffer due to relocation as domestic workers lose jobs
▪ Access to specialised suppliers in countries abroad that provide better quality service, raw materials or components	▪ Increased costs in the short term, such as relocation costs, acquiring new premises and training new staff



Your notes

▪ Economies of scale as businesses sell to a larger international market	▪ Possibly poor customer service due to language and cultural differences between the domestic consumers and foreign workers ▪ E.g. in 2011, Santander moved its call centre back to the UK from India after customers expressed dissatisfaction with the quality of service they were receiving
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Outsourcing

- **Outsourcing** occurs when a business hires an **external organisation** to complete certain tasks or business functions
 - E.g. **Apple** outsources the production of the iPhone to Foxconn in China
- The key reasons for a business choosing to outsource include:
 - Reduced costs
 - Allows businesses to focus on **core competencies**
 - Easier to comply with rules and regulations in other countries, as they are often less demanding for a local business
- The main **difference** between offshoring and outsourcing is that offshoring is still carried out under the **same business**, whereas outsourcing is done by a completely **different business**

Advantages and Disadvantages of Outsourcing

Advantages of outsourcing	Disadvantages of outsourcing
▪ Businesses can take advantage of specialist skills that another business has or that can complete a particular task more efficiently ▪ Cost effectiveness, as businesses avoid having to spend money investing in new facilities abroad ▪ Businesses can benefit from higher labour productivity in other countries	▪ Damage to brand image, as the values of the two businesses may not be in alignment ▪ E.g. Foxconn workers producing Apple products were committing suicide due to the low pay and poor working conditions ▪ Poor communication between the businesses can cause issues, which can lead to increased costs and disruption for the business choosing to outsource

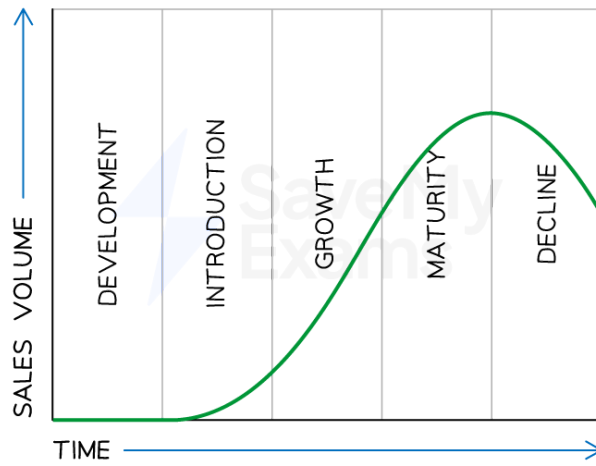
Product life cycle extension

- The **product life cycle** represents the value of sales from the time a product is introduced into the market until it is no longer sold

A typical product life cycle



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The four stages of the product life cycle show the value of sales over a period of time

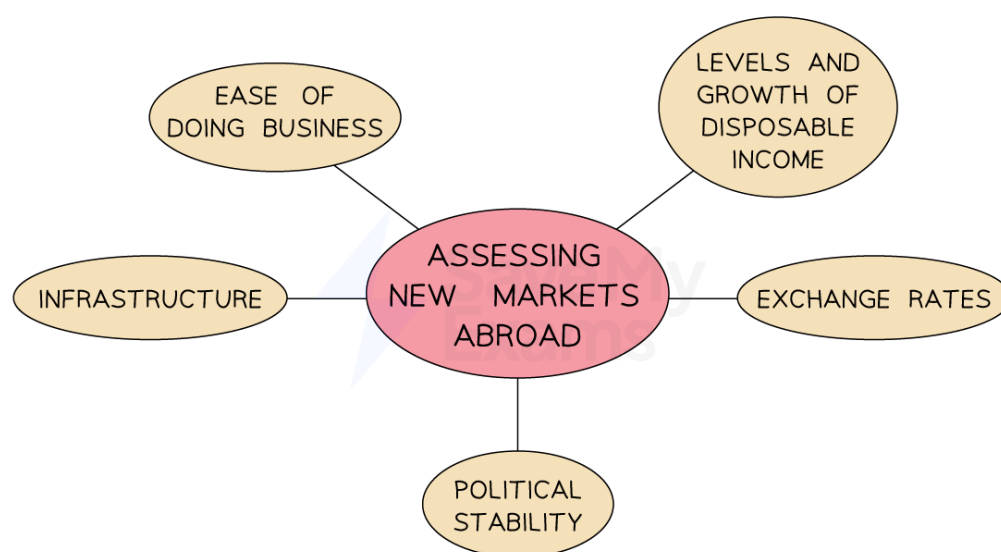
- The stages of the product life cycle include **introduction**, **growth**, **maturity** and **decline**
- An **extension strategy** is a method used by a business to lengthen **the life cycle** of a product or service
 - E.g. a business could **sell its product in new international markets**
 - A product could reach maturity in one market but could then be introduced into another market
 - This allows the business to generate more revenue



Factors to consider before entering new countries

- When businesses are considering new markets to enter, they have to consider the **attractiveness** of the market
- This will involve businesses carrying out extensive **market research** and using models such as the **Boston Matrix** and **PESTLE**

Assessing new markets abroad



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Factors to consider before entering new countries include the ease of doing business and political stability

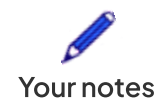
Infrastructure

- Infrastructure considers factors such as **roads, transportation and communication** (mobile coverage/internet)
 - Good infrastructure improves the production process and delivery of goods and services to the customer, which **reduces costs and increases sales**

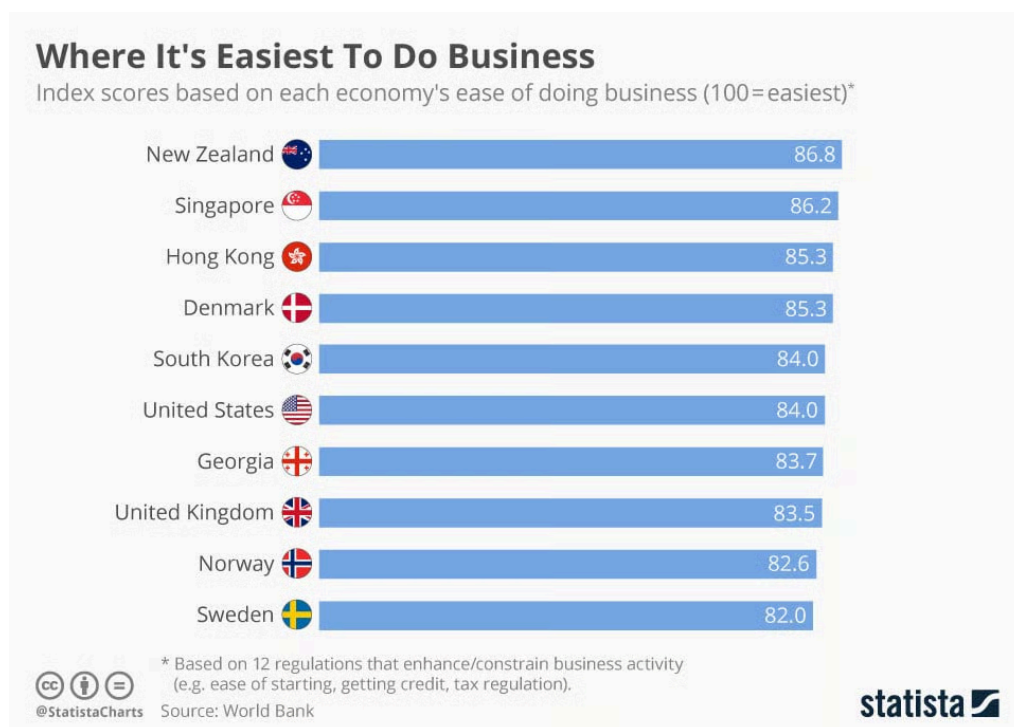
Ease of doing business

- Rules and regulations involved in establishing a business in a particular market may be relatively simple or extraordinarily hard
 - Issues to consider include **accessing credit, registering properties and enforcing contracts**

- If a business faces significant challenges in setting up business in a new market, this may lead to delays in operations and the business generating fewer sales
- The World Economic Forum (WEF) has established a ranking of countries by the **ease of doing business**



Comparison of ease of doing business



A scoring system that rates how easy it is to conduct business activities in different countries (Source: World Economic Forum)

Levels of growth and disposable income

- **Disposable income** is the income individuals have left after paying direct taxes (e.g. income tax) and other deductions (e.g. pension contributions)
 - Selling products in a country with a higher disposable income is likely to lead to **more sales**
 - Selling in a country with a lower disposable income is likely to lead to **slower sales** growth
- Businesses should look at **trends in income levels** over time to see if there is potential growth in sales in the future

Exchange rates

- An **exchange rate** is the price of one currency in terms of another, e.g. £1 = \$1.10
- Exchange rates can be subject to **extreme fluctuations** due to external factors
 - Businesses should look at the **historical trends of the currency** of the country

- Businesses moving to countries with **stronger currencies** can import raw materials and components for production at a lower price
 - Exports from this country will be more expensive to customers abroad

Political stability

- Businesses may be at risk of not gaining a **return on their investment** in a country with political instability
 - A country with political instability will be subject to corruption, a lack of law enforcement and higher levels of crime
 - There is more likely to be disruptions to trading
- An economy with a **stable economy and government** is seen as a **less risky investment** for business



Examiner Tips and Tricks

In Paper 1, you may be given extracts A–D that will contain information regarding a particular market/country. You will be expected to assess if the business should expand and make a judgement regarding whether the business should expand its operations in the market. It is important that you use evidence from the extract and your own knowledge to support your arguments and consider in your conclusion what the most important factors are for the business.



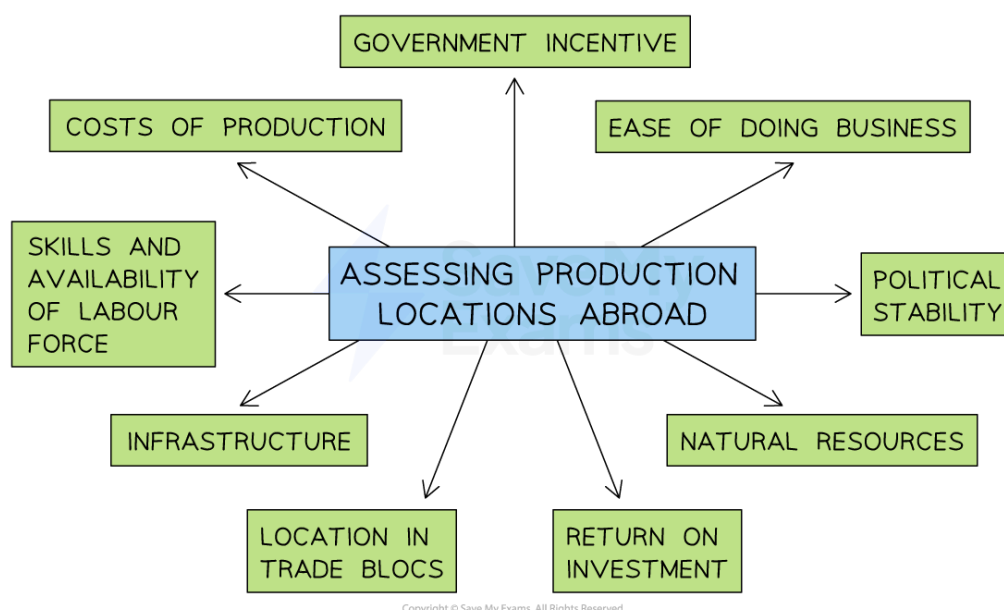
Your notes



Factors to consider before setting up production locations in other countries

- Businesses may choose to set up **production facilities** in other countries
- This is a different process from choosing a country as a potential market for customers
- In this sense, production includes **both manufacturing and any services** associated with the business, e.g. call centres

Assessing production locations abroad



Factors to assess when considering setting up production facilities in another country include costs of production and infrastructure

- When setting up production facilities in another country, several factors **need to be assessed** to ensure a successful outcome
- These include the costs of production, the skills and availability of the labour force, infrastructure, the location in a trade bloc, government incentives, the ease of doing business, political stability, the availability of natural resources and the likely return on investment

Factors to consider when assessing production location

Factor	Why is this factor important?
Costs of production	▪ Businesses want to keep costs of production low, as doing so can help them increase their profit margin or allow them



Your notes

	to sell at a lower price to gain a competitive advantage
Skills and availability of the labour force	▪ The quality of the workforce is important, as this will directly impact the quality of the goods and services produced in an economy ▪ Businesses will need to consider factors such as literacy rates and whether the workforce has the right skills needed for the business ▪ Businesses may choose to locate production in a market where the labour costs are lower
Infrastructure	▪ Businesses need to consider the infrastructure needed, such as roads, as this will affect the production process ▪ E.g. the transportation of raw materials for the production process
Location in a trading bloc	▪ A business located in a market in a trade bloc will be able to access many advantages, such as reduced protectionist measures ▪ E.g. Japanese companies Nissan and Toyota invested in manufacturing facilities in the UK (prior to Brexit) to gain access to the EU market
Return on investments	▪ Assessing the return on investment in different markets will reduce the risk of the initial investment not being paid for ▪ Investment appraisal techniques (payback method, average rate of return and discounted cash flow) can be used to estimate a business's potential return on investment
Natural resources	▪ It is often important that a business has easy access to raw materials, as this can help to reduce transportation costs and reduce any potential delays to the production process
Political stability	▪ Businesses may be at risk of not gaining a return on their investment in a country with political instability ▪ A country with political instability will be subject to corruption, a lack of law enforcement and higher levels of crime ▪ There are more likely to be disruptions to production ▪ An economy with a stable economy and government is seen as a less risky investment for a business

Ease of doing business	▪ A business will want to be located in an area where there is limited bureaucracy so the process of establishing production facilities is not delayed or does not incur high costs
Government incentives	▪ Businesses may be offered incentives (e.g. grants, business loans and tax breaks) by the government



Your notes



Examiner Tips and Tricks

In Paper 3, you may have a question with different location options. You will need to evaluate the financial and nonfinancial factors to determine which location would be the best option for a particular business. This may also involve performing calculations for an investment appraisal or quantitative sales forecasting (Theme 3).

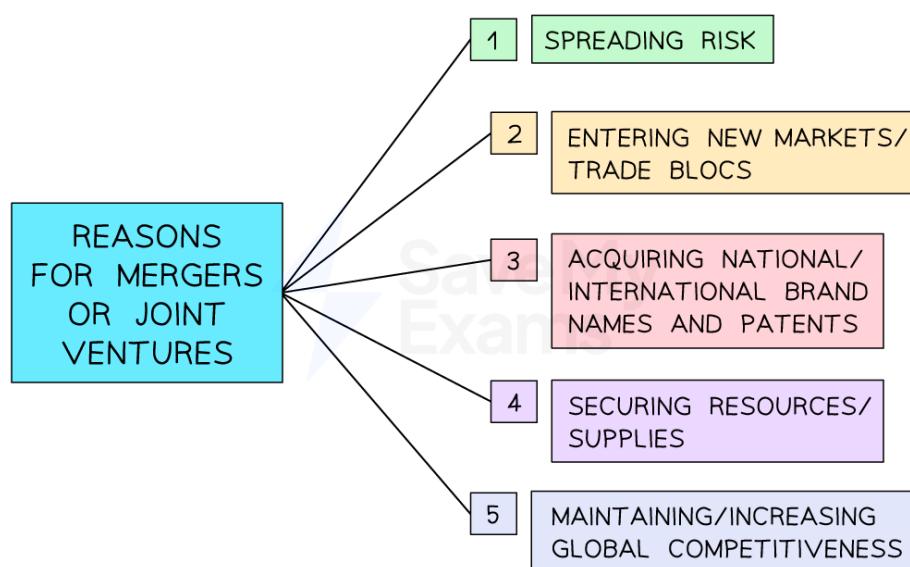
Remember, there is a difference between whether a business is choosing a location as a potential market or for production facilities!



Factors driving global mergers or joint ventures

- A **global merger** is a permanent agreement between two businesses from two different countries to join together
- A **joint venture** is when two businesses join together to share their knowledge, resources and skills to form a separate business entity for a limited period of time
 - E.g. the mobile network EE is a joint venture formed by the French mobile network Orange and the German mobile network T-Mobile
- Businesses may choose these methods of reaching a new market as they may be more cost-effective than **exporting**, **licensing** and **franchising**

Reasons for mergers or joint ventures



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Key reasons for global mergers and joint ventures include spreading risk and securing resources

Spreading risk

- Businesses operating in different markets spreads the risks associated with **fluctuating economic conditions**
 - If there is an economic downturn in one market, a business may still gain sales in another market that is less affected

Entering new markets/trading blocs

- Entering a market using a merger/joint venture is a quicker method than **organic growth**



- In emerging economies, many governments insist that foreign businesses can only **operate as joint ventures**, as this can benefit domestic businesses
- Forming a joint venture with a local company allows the joining business to **gain knowledge of and establish business in the local markets**

Acquiring national/international brand names/patents

- A **patent** is the legal right given by the government to an individual or business to make, use or sell an invention and exclude others from doing so
- **The process of developing intellectual property can be a long and expensive process**
 - Using a merger/acquisition is a method businesses can use to get access to **intellectual property** or a business with a strong reputation

Securing resources/supplies

- One business can **strategically merge or create a joint venture** with another business that has access to resources, e.g. land and raw materials
 - This allows the business to quickly gain access to resources, which helps to speed up the production process
- Businesses have to be aware of any **ethical issues** concerning the resources, as this can damage the reputation of the business; e.g. a business might be unaware that the company they are joining uses child labour

Maintaining/increasing global competitiveness

- Businesses can increase their **global dominance** by merging or joining with another business
- By expanding, a business can benefit from economies of scale, which leads to lower costs
 - Businesses can reduce prices, which can increase sales, leading to a larger **market share**

Benefits and drawbacks of global mergers and joint ventures

Benefits	Drawbacks
▪ Economies of scale gained from costs spread over larger output can lead to increased profit margins ▪ The diversification of risk due to having products in several markets, so if there is a fall in sales of certain products, the business can still generate revenue from other products	▪ The initial costs of merging can be significantly high ▪ There is no guarantee that a business will gain a return on its initial investment if it is not successful ▪ Diseconomies of scale can occur due to communication issues and

- **Opportunities to enter new markets** that may otherwise be closed to the business

a lack of control as the business expands

- A **culture clash** between the two businesses can affect the quality of the business, leading to poor sales
- When two businesses join together, **redundancies** can occur
 - This can affect the motivation of remaining workers



Your notes



Examiner Tips and Tricks

In Paper 1, you may have to evaluate the strengths and weaknesses of a potential merger/takeover or joint venture. You can use extracts A–D for the application, but words ‘such as’ in the question means you can base the application on any similar business

The examiner recommends that students read quality newspapers, financial publications and reputable websites to become familiar with various business contexts that can be referred to in their exam answers



Exchange rate fluctuations

- **Global competitiveness** is the ability of a business to perform better than its rivals across markets in different countries
- Fluctuations in exchange rates can influence the competitiveness of a business
 - An **exchange rate** is the value of one currency in terms of another currency
- Currency **appreciation and depreciation** have different impacts on a business

Currency appreciation

- An appreciation of the exchange rate means the value of a currency **increases** against another currency
 - E.g. if **£1 = \$1.60** but then the £ increases to **£1 = \$1.80**, the value of the £ has appreciated against the US\$

The impact of currency appreciation on global competitiveness

Advantages of an appreciation	Disadvantages of an appreciation
▪ If a business imports raw materials and components from abroad, they will now be cheaper ▪ This will help the business to reduce its costs and possibly increase its profit margin	▪ If a business exports goods/services to foreign consumers, the goods will be more expensive for international customers ▪ This may lead to a fall in sales as consumers now shift demand to domestic businesses

Currency depreciation

- A depreciation of the exchange rate means that the value of the currency **decreases** against another currency
 - E.g. if **£1 = \$1.60** but then the £ falls to **£1 = \$1.20**, the value of the £ has depreciated against the US\$

The impact of a currency depreciation on global competitiveness

Advantages of a depreciation	Disadvantages of a depreciation
▪ If businesses export goods/services abroad, they become more competitive	▪ If a business imports raw materials or components from abroad, they are now more expensive



Your notes

because their products are cheaper to purchase

- In the domestic market, there may be less competition from foreign firms, as **imports are now more expensive** for domestic consumers to purchase

- This leads to an increase in the costs for a business, which could then be passed on to consumers in the form of higher prices



Examiner Tips and Tricks

Paper 1 and Paper 3 frequently question you on the impact of exchange rate changes on a business. The information may be presented as a) a written extract or b) a table or graph showing the fluctuations in the exchange rate. It is important to be able to explain whether an appreciation or depreciation has occurred.

Acronyms to help explain the impact of exchange rate changes include:

- S.P.I.C.E.D — Strong Pound Imports Cheaper Exports Dearer (dearer means more expensive)
- W.P.I.D.E.C — Weak Pound Imports Dearer Exports Cheaper

You can use the pound interchangeably with any other currency used in the exam.

Competitive advantage

- Global competitiveness increases when a firm has a **competitive advantage**
 - Two factors that provide a competitive advantage include **cost competitiveness** and **differentiation**

Cost competitiveness and differentiation

Cost competitiveness	Differentiation
■ Cost competitiveness is when a business becomes one of the lowest-cost producers in its industry ■ Cost competitiveness can be achieved using strategies such as: ■ Increasing the productivity of its workforce ■ Using machinery and technology efficiently ■ Outsourcing ■ Offshoring ■ Businesses can utilise their position as a cost leader to reduce their prices or	■ Differentiation occurs when a business makes the characteristics of its products/services different from those of its competitors ■ Methods of differentiation include developing a strong brand and having a better design, better quality and better customer service

keep their prices the same, which results in an increase in profit margins



Your notes

The impact of skills shortages

- If a business is unable to find **labour with the required skills**, it will affect its ability to gain a competitive advantage
- Cost leadership could be difficult to achieve if the workers lack skills, as they may not be as **productive**
 - This could increase unit costs due to factors such as waste
- Product differentiation is less likely to occur if workers **lack the skills and expertise** to produce highly differentiated products
- In order to overcome these issues, a business can use outsourcing and offshoring to access the skills needed for its business